

cutting-edge technology.”

That statement came less than a fortnight after Sebi approved the T+0 settlement cycle for stocks, a global first, and four days after a select set of 25 stocks went live with the facility on March 28, in the process putting the Indian equity market at the forefront of innovation in financial regulation.

“Our T+0 was itself a global first; there was no other large market that had implemented it,” she had said.

T+0 refers to a mechanism wherein the shares or the sale proceeds of the shares—depending on whether it is a buy or sell transac-

India, NMDC, Oil and Natural Gas Corporation, Petronet LNG, Samvardhana Motherson International, State Bank of India, Tata Communications, Trent, Union Bank of India, and Vedanta.

On the first day, 63 members participated in the optional segment on BSE with as many as 41 trading in shares of 10 companies, placing a total of 329 orders, resulting in 90 trades. A total of 49 unique investors used the facility on March 28.

Though it may appear to be just an incremental step from T+1 to T+0, the impact of just a day’s re-

operations but also stands to substantially mitigate transactional risks, offering immediate and tangible value to both traders and investors alike,” says Krishna.

Indeed, the benefits could be significant for investors, as they can trade in a much larger quantity of shares from the same pool of funds if the settlement cycle is shortened. Incidentally, the regulator has already made it clear that T+0 is just a step towards achieving its larger goal of moving to instant settlement.

And the benefits of moving to shorter settlement cycles are

SAME DAY DELIVERY

1 On March 28, a set of 25 stocks went live with the T+0 or same-day settlement cycle for stocks

2 This is a beta launch and a global first, placing the Indian capital markets at the forefront of financial innovation

3 Among the firms that have gone live are heavyweights like SBI, Indian Hotels, JSW Steel, Ambuja Cements, Ashok Leyland

4 Market participants say the move will help free up brokers’ own funds, and is the stepping stone towards instant settlements

tion—are credited to the demat or the bank account on the day of the transaction. For other stocks, the credit occurs the day after the transaction, or T+1.

The 25 companies whose shares are now available for trading on the BSE as part of the same-day settlement mechanism are: Ambuja Cements, Ashok Leyland, Bajaj Auto, Bank of Baroda, Bharat Petroleum Corporation, Birlasoft, Cipla, Coforge, Divi’s Laboratories, Hindalco Industries, Indian Hotels Company, JSW Steel, LIC Housing Finance, LTIMindtree, MRF, Nestlé

duction can be significant in terms of costs. “T+0 settlement would help free up brokers’ own funds within the system, thus reducing the overall cost of doing business,” says Shrey Jain, founder and CEO of discount stockbroking firm SAS Online.

In a similar context, Vamsi Krishna, CEO of online trading platform StoxBox, believes that T+0 will pave the way for a stronger, risk-averse, and dynamic market ecosystem. “The transition towards T+0 not only enhances the efficiency and flexibility of market

already becoming apparent. Buch said in her April 2 speech: “We measure the defect rate of settlement with the DVP ratio, or the delivery versus payment ratio... Prior to T+1 (settlement cycle), the DVP ratio was 0.7–8%. After T+1, the ratio has halved to 0.3–0.4%. So, the entire process (of a securities market transaction) has become far more optimal and efficient after T+1.”

While these metrics might sound technical to the average trader or retail investor, there is no denying the fact that T+0 would